



Central Bank
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Transparency Report

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A. Minutes of the Central Bank of Armenia Board Meeting on the Refinancing Rate

December 16, 2025

Present at the meeting: Governor Martin Galstyan, Deputy Governor Hovhannes Khachatryan; and Board Members Davit Nahapetyan, Artak Manukyan, Levon Sahakyan, Narek Ghazaryan, and Armen Ktoyan.

Assessment of Current and Underlying Economic Conditions

The meeting of the Board of the Central Bank of Armenia began with the Staff presentation of current and underlying global and domestic economic conditions.¹ The presentation addressed developments in the external environment, inflation, and the real, fiscal, financial, and monetary sectors of the economy; touched upon the key risks and issues, as presented in various scenarios summarized in the Taxonomy of Scenarios; and highlighted sources of policy-relevant uncertainty. The current and underlying global and domestic economic conditions are summarized in the Monetary Policy Report and Part B of the Executive Monetary Policy Statement.

Deliberations around Key Risks, Uncertainties, and Scenarios

Following the discussion of current and underlying macroeconomic developments in the external and domestic sectors, the Board proceeded to addressing the broad spectrum of risks in light of key uncertainties, deliberating their implications for monetary policy, and making a decision on the policy rate. As a starting point for discussions, the Board discussed current market expectations of the future path of the policy rate. Based on the CBA's most recent surveys, financial market participants expect the CBA policy rate to gradually decline to 6.25% over the next eight decisions.

On the one hand, the Board has evaluated scenarios where underlying developments would require a tighter policy stance relative to current market expectations in order to contain excess demand, anchor inflation expectations to the target and guarantee the price stability objective (Case A-type scenarios). These types of scenarios primarily relate to risks of higher global neutral rates, uncertainty surrounding global and regional geopolitical developments, uncertainty about the long-term sustainable level of the country risk premium, and risks of increasing aggregate demand conditions and various supply-side factors leading to a persistently higher rate of inflation. On the other hand, the Board also evaluated scenarios where underlying developments would require the policy rate to follow a more rapid and aggressive downward path than what is currently priced in markets in order to sustainably bring inflation back to target in the medium-term horizon (Case B-type scenarios). These types of scenarios include overall concerns about the outlook for the global economy; risks of subdued demand conditions forming in the domestic economy; as well as a gradual adjustment to real estate prices leading to a weak demand environment forming and deepening in the economy.

Against the backdrop of the broader set of risks, Board members deliberated their individual views on the key sources and types of risks and uncertainty that were most relevant for making a prudent policy decision. These discussions took place in the context of "least regrets" decision-making, in terms of seeking to minimize potential losses that could arise from these scenarios materializing.

Board members discussed key medium-term uncertainties around the United States economic outlook and its implications on Fed policy. All Board members emphasized that the expansionary stance of fiscal policy and growing public debt poses additional upside risk to US long-term interest rates. Artak Manukyan expressed concerns about potential overvaluation in the US stock market; given its role in supporting strong consumption, a sharp correction in asset prices could have downside implications on both current conditions and the medium-term outlook for the US and global economies. Turning to the US labor market, Narek Ghazaryan emphasized that a further deterioration in labor market conditions could pose risks of a serious slowdown in US consumption and growth, in turn accelerating risks of asset price corrections. However, he noted that if this scenario were to materialize, a strong fiscal response could minimize the impacts of worst-case outcomes. All Board members noted that while the Fed cut rates for the third consecutive decision, the scale and timing of further rate cuts remained uncertain.

Addressing weakening demand conditions in the EU, Russia, and China, all Board members agreed that risks of a worsening global demand outlook remain elevated. While growth in the Euro Area remains sluggish, Narek Ghazaryan noted that the persistence of

¹ The staff presentation is published on the CBA website under the title "Monetary Policy Outlook."

inflationary pressures (particularly in services inflation), as well as recent ECB communications, could point to a potentially higher path for medium-term interest rates in the Euro Area. Davit Nahapetyan noted that global trade policies continue to pose upside inflationary risks. In particular, he noted that continued tensions in US-China trade relations, despite the recent agreement, could lead to supply chain disruptions and transmit inflationary pressures to Armenia. On the other hand, Narek Ghazaryan and Hovhannes Khachatryan emphasized that the continued deflationary environment in China and export market diversification could transmit further deflationary effects to third countries, including Armenia. Finally, turning to food prices, Davit Nahapetyan, Armen Ktoyan, and Narek Ghazaryan noted that while food prices had grown throughout the year, they have continued to decline since September and concerns in this regard had largely softened. Further, all Board members noted that global oil supply continues to outpace demand, the persistence of which could lead to further declines in oil prices.

Additionally, Board members emphasized considerable uncertainty regarding the Russian economic outlook and its impact on external demand for Armenian goods and services. Narek Ghazaryan suggested that various signs, including trends in goods exports along with high demand for financial services, could point to strong external demand from Russia, though the outlook nonetheless remained uncertain. Looking ahead, Artak Manukyan, Davit Nahapetyan, Armen Ktoyan, Hovhannes Khachatryan, and Martin Galstyan argued that a slowdown of the Russian economy could negatively impact Armenian goods exports as well as future tourism inflows, posing deflationary risks.

Discussions then touched upon key sources of uncertainty about domestic economic conditions. All Board members noted that there appear to be fewer imbalances between aggregate demand and aggregate supply relative to previous years. At the same time, however, Board members expressed differing views about the strength of underlying domestic demand conditions. Armen Ktoyan emphasized that the structural characteristics of economic growth and its concentration in a limited number of sectors could be masking weakening demand conditions in the economy. In this context, Armen Ktoyan and Hovhannes Khachatryan suggested that slowing wage growth, sluggish growth in retail trade, and declining imports of final consumption goods pointed to risks of relatively weak underlying demand conditions forming in the economy. Conversely, Narek Ghazaryan suggested that retail trade growth and services inflation remain in line with pre-Covid trends, arguing that their current trends did not point to a meaningful slowdown in demand conditions. Expanding on this point, he emphasized that the secondary impacts of expansionary fiscal policy in the current year, high accumulated savings, and high external demand could all point to stronger demand conditions and a slightly positive output gap, even as risks of significant excess demand conditions and demand-driven inflationary pressures have meaningfully weakened. Further, all Board members noted that the real estate market has not exhibited signs of a sharp downward correction. During the discussions, Davit Nahapetyan and Armen Ktoyan expressed concerns about potential oversupply leading to reductions in both for-sale and rent prices as well as a weakening of the overall demand environment, while Levon Sahakyan emphasized that the gradual nature of price adjustments did not yet point to excessive imbalances between supply and demand in the real estate market, and risks in these directions have meaningfully weakened. Narek Ghazaryan noted that despite the gradual pace of adjustments, medium- and long-term risks still remain relevant.

Turning to financial conditions, all Board members noted that lending activity for both businesses and households remained high. At the same time, Hovhannes Khachatryan noted that recent increases in liquidity in the financial sector could exert downward pressure on lending and deposit rates across the economy as well as overall financial conditions, leading to an increase in aggregate demand conditions. Board members discussed different explanations for the downward movement in the yield curve, emphasizing increased liquidity in financial markets, as well as declines in the country risk premium and the lagged effect of monetary policy transmission. In this context, Board members discussed uncertainty about the fundamental, long-term level of the country risk premium, including the extent to which improving sentiment toward emerging markets has been driven by fundamentals rather than short-term, cyclical factors.

Regarding fiscal policy developments, Martin Galstyan emphasized that risks of a highly expansionary fiscal stance had meaningfully weakened, considering strong revenue performance as well as planned fiscal consolidation in 2026. At the same time, Board members also noted uncertainty about a potentially higher pace of fiscal expenditures, especially in the final months of the year, which could have some implications on domestic demand conditions and the overall inflationary environment.

Turning to inflation, all Board members noted that the increase in inflation observed since the beginning of the year had been driven by sustained supply-side factors, including increased imported food and non-food prices as well as seasonal food. However, they emphasized that a softening in these factors—including weakening global food prices and below-average seasonal food trends—contributed to a significant slowdown in Y-o-Y inflation in November. At the same time, Narek Ghazaryan and Armen Ktoyan noted that the nature of the recent spike in core inflation has been supply driven. However, Narek Ghazaryan and Levon Sahakyan emphasized that underlying inflation developments must nonetheless continue to be closely monitored, particularly if aggregate demand conditions prove to be stronger than expected. Davit Nahapetyan, Martin Galstyan, and Artak Manukyan noted positive signals regarding inflation expectations, which continue to converge around the target.

Summarizing their views, the Board agreed that the greatest policy imperative lies in accurately assessing which types of risks are most relevant and dangerous in terms of their scale and impact on the economy, and what types of policy errors the Board is most focused on avoiding from a least regrets perspective. On the whole, the Board members were in unison that the main risks that had been discussed in prior rounds—especially dark corner tail risks—had somewhat softened. At the same time, Board members expressed a diversity of views about the most prudent approach for managing these risks. One group of Board members, including Armen Ktoyan, Artak Manukyan, Davit Nahapetyan, and Martin Galstyan, argued that a 25 bps reduction in the policy rate, in line with market expectations, would best balance the risks at hand. In this context, Armen Ktoyan and Artak Manukyan emphasized the importance of managing the macroeconomic implications stemming from the Case B-type risks, while Davit Nahapetyan and Martin Galstyan found the risks to be largely balanced in both directions. On the other hand, Narek Ghazaryan, Levon Sahakyan, and Hovhannes Khachatryan noted that the current policy stance continued to remain appropriate amid existing uncertainties. Narek Ghazaryan placed greater emphasis on needing to manage the macroeconomic implications stemming from the Case A-type risks materializing, while Levon Sahakyan and Hovhannes Khachatryan argued that the Case A- and B-type risks were largely balanced.

Policy Decision

In the context of its risk management framework, and amid significant uncertainty, the Board of the CBA emphasizes the importance of minimizing the losses that could stem from these and other scenarios materializing. The Board resolutely affirms its commitment to adopting the appropriate policy actions and strategy to ensure price stability.

As a result, the Board of the Central Bank of Armenia voted to reduce the policy rate by 25 basis points (see Table 1). The Board will continue to monitor relevant risks and scenarios, and stands ready to take adequate actions to ensure that the price stability objective of 3 percent inflation over the medium-term horizon is met.

Individual vote explanations, submitted by each Board member at the time of their vote, are presented in Section B of this report.

Table 1. Summary of Votes on the CBA Refinancing Rate by Individual Board Member
December 16, 2025 Decision

Board Member	Vote
Armen Ktoyan	Decrease by 25 bps
Narek Ghazaryan	Keep unchanged
Levon Sahakyan	Keep unchanged
Artak Manukyan	Decrease by 25 bps
Davit Nahapetyan	Decrease by 25 bps
Hovhannes Khachatryan	Keep unchanged
Martin Galstyan	Decrease by 25 bps

B. Final Vote Submissions

December 16, 2025 Decision

Final Vote Submissions are provided by each Board member at the time that they cast their vote for the policy decision. These submissions are intended to succinctly and directly explain the key risks and issues that each Board member considered as part of their rationale for casting their vote.

Governor Martin Galstyan

Based on discussions with the Board during the policy round, the analysis of current and underlying economic conditions, as well as a careful assessment of the key sources of risk and uncertainty, I have voted to decrease the policy rate by 25 basis points. My decision is motivated by the need to carefully manage both the Case A and Case B-type risks. While the Fed has cut interest rates in its past three decisions, concerns about upward pressure on long-term US interest rates stemming from fiscal policy still persist, with implications on the neutral rate in Armenia. At the same time, risks of weakening economic activity globally, including in the Eurozone and China, pose risks of slowing global demand conditions. Further, the growth outlook for key trading partner economies, especially Russia, continues to deteriorate, as reflected in slowing growth across virtually all sectors of the economy, the accumulation of non-performing loans especially in the corporate sector, as well as declining consumer lending activity. This, in turn, poses uncertainty around the outlook for external demand for Armenian goods and particularly services exports. Domestically, economic activity remains at a relatively high level, continuing to be driven by construction and services as well as the reemergence of certain short-term, non-structural growth factors. The structural characteristics of economic activity in turn poses uncertainty regarding the underlying strength of domestic demand conditions. Finally, concerns about the macroeconomic implications of a potential, gradual adjustment in the real estate market remain relevant, even as the latter continues to show signs of resilience in recent months, with property prices in Yerevan softening at a much more gradual pace. On the whole, I believe that many of the risks that had been discussed in prior rounds—especially the most dangerous tail risks—have somewhat softened. My vote reflects an assessment that the risks in both directions nonetheless continue to remain balanced, and a 25 basis point reduction in the policy rate in line with market expectations best manages the risks at hand. In the event that new information or events emerge that require a reassessment of this balance of risks, I reaffirm my commitment to responding in an appropriate and timely manner to ensure that the price stability mandate is met.

Deputy Governor Hovhannes Khachatryan

Considering recent economic and financial developments in Armenia over the past few months, the discussions with other Board members during the policy cycle, as well as thorough analysis of the main sources of risks and uncertainty, I vote in favor of maintaining the policy rate unchanged. The long-run neutral interest rate in the U.S. may settle at higher levels, driven by the federal budget deficit, rising public debt, risks of de-anchored inflation expectations, and the segmentation of global markets. Economic growth, investment, and the overheating in the securities market are largely concentrated among major technology companies, primarily driven by developments related to artificial intelligence projects. In the labor market and other segments of the real economy, a weakening of economic activity is already being observed. In other partner countries, including the EU, China, and Russia, risks of slowing economic activity persist. In the case of Russia, this is accompanied by a high level of inflation. Therefore, the stagflationary risks stemming from the external sector are intensifying. Due to regional political developments, as well as the dynamics of public debt and the budget deficit, Armenia's country risk premium has gradually declined. Economic activity is concentrated in construction, the financial sector, and certain non-inclusive industries. In the domestic economy, B-type factors are primarily associated with a possible weakening in construction and mortgage market activity. Such a slowdown would affect rental prices, housing prices, as well as the dynamics of investment and employment. At the same time, still relatively high lending levels continue to support domestic demand. Recent increases in liquidity in the financial sector could exert downward pressure on lending and deposit rates across the economy as well as overall financial conditions, leading to an increase in aggregate demand conditions. Overall, the output gap is closed, although there are both sectors that are rapidly expanding and sectors that are weakening. In summary, I consider Case A- and B-type risks in both the global and domestic economies to be broadly balanced. Considering the above, leaving the policy rate unchanged best minimizes the losses that could stem from potential policy errors.

Board Member Davit Nahapetyan

Taking into account the analysis presented by the macroeconomic team regarding recent economic and financial developments, as well as the thorough discussions held with fellow Board members on the policy rate, and guided by the principles of prudent risk management, I vote in favor of reducing the policy rate by 0.25 percentage points. Inflationary pressures stemming from the external environment on the Armenian economy have eased significantly. Prices of oil products and food commodities have been trending downward, which is expected to contribute to a further reduction in supply-side inflationary pressures. Despite some inflationary developments in the Euro Area, it is expected that monetary conditions will be eased by central banks in Armenia's main partner countries going forward. Economic activity domestically remains at a high level. However, analysis of the contributing factors driving this economic activity suggests that no capacity enhancing developments are currently observed from the perspective of potential growth. At the same time, no inflationary pressures are evident from external demand. Developments in the labor market also predominantly point toward disinflationary effects. At the same time, inflationary pressures stemming from external demand are currently subdued and developments in the labor market are also assessed to have the potential to contribute to deflationary dynamics. Although inflation exhibited some upward momentum in the third quarter, this was largely driven by supply side factors. I do not observe inflationary risks stemming from domestic demand. In addition, no significant acceleration in sticky price inflation has been recorded. Moreover, against the backdrop of declining international food prices, I expect some moderation in the prices of imported goods in the domestic market, signals of which are already emerging. Surveys of both households and financial market participants indicate that inflation expectations in Armenia remain broadly anchored, owing to the monetary policy pursued in recent years and the consistent application of prudent risk-management principles. Taking these factors together, and from the perspective of effective risk management, I consider a reduction of the policy rate by 0.25 percentage points to be the most appropriate decision and one that best reflects the fundamental principles underlying the Central Bank's policy aimed at ensuring the inflation target. I reaffirm my commitment to the use of the full range of instruments available to the Central Bank Board to achieve the price stability objective, while continuing to closely monitor developments in the economy and the financial system.

Board Member Artak Manukyan

In forming an understanding of recent developments in the economic and financial sectors, I have reviewed various analyses characterizing these trends and have also assessed the main sources of potential risks and uncertainties. Based on this assessment, I voted in favor of reducing the refinancing rate by 25 basis points. Based on the data analysis, I have concluded that, amid the gradual increase in the effectiveness of Western sanctions and the tightening of economic policies, aggregate demand in Russia may weaken significantly. In addition, Armenia's degree of participation in Russia's external trade flows may also decline, further deepening the reduction in revenues implied by the weakening of external demand. These factors may be further compounded by tighter migration policies in Russia and ongoing logistical challenges. As expected, an interest rate-cutting policy was implemented in the United States, which may provide additional support for monetary policy stance. In the domestic economy, although industry (particularly manufacturing) has not yet fully recovered compared to the previous period, economic growth remains high, mainly driven by the services and construction. In the real estate market, the normal adjustment of prices is continuing. The labor market is also showing signs of stabilization. Inflation is close to the target, while developments in food prices have been milder than expected. Risks regarding the sustainability of positive developments in the country risk premium have not yet been fully neutralized. Taking into account current inflation trends, ongoing economic developments and their macroeconomic outlook, as well as considerations related to underlying fundamentals, I assess that, guided by the principle of "minimum regret" at the present stage, it is appropriate to conduct a monetary policy that is aligned with market expectations. In summary, I assess the probability of the materialization of Case B-type risks, primarily driven by potential developments in Russia, to be higher. Therefore, given the need to manage their possible impact, I voted in favor of a rate cut. I confirm that, in order to ensure the achievement of the price stability objective, I will continue, in my capacity as a member of the Central Bank Board, to closely monitor economic development scenarios and, if necessary, take appropriate actions to ensure the inflation target (3%) is achieved over the medium term.

Board Member Levon Sahakyan

Having carefully assessed recent economic developments, underlying fundamentals, and the main sources of risks and uncertainties during the current policy cycle, as well as taking into account prevailing market expectations, I voted in favor of keeping the policy interest rate unchanged. External inflationary pressures stemming from developments in advanced economies and global commodity markets are assessed to be weak. Nevertheless, I believe that uncertainties surrounding the U.S. Federal

Reserve's policy rate will persist for an extended period. Against this backdrop, and despite recent reductions in the policy rate, these developments are not yet fully priced into bond markets, reflecting continued uncertainty regarding the long-term level of the U.S. policy rate. Domestic economic activity remains resilient, with economic growth close to its long-term potential and lending volumes continuing to expand. At the same time, broad-based wage growth is observed in the labor market, which, amid elevated levels of economic activity, may point to sustained demand conditions in the economy. On the other hand, recent developments in the country risk premium and government bond yields create preconditions for the formation of market interest rates at a new, lower level. Among Case B-type risks, I continue to emphasize the management of potential macroeconomic implications arising from rapid adjustments in the real estate market and the construction sector. However, recent developments suggest a moderation in signals indicating the materialization of such risks. In addition, the potential transmission of a weakening in external demand to the domestic economy remains an important consideration from the perspective of managing Case B-type risks. Overall, balancing risks in both directions, I voted in favor of maintaining the policy interest rate unchanged, consistent with the path implied by market expectations. In my assessment, under the current balance of risks, this stance is necessary to ensure the achievement of the price stability objective.

Board Member Narek Ghazaryan

Taking into account the discussions held with other members of the Board during the policy decision cycle, the analysis of current economic developments and underlying fundamentals, as well as a comprehensive assessment of key risks and sources of uncertainty, I voted in favor of keeping the policy rate unchanged at 6.75 percent. My decision is based on the firm belief that, over the monetary policy horizon, the inflationary and disinflationary effects associated with the materialization of both Case A and Case-B type risk scenarios remain moderate compared with previous policy decision cycles. That said, I remain particularly concerned about Case A-type inflationary scenarios over the policy horizon, as I assess both their scope and combined impact on inflation to be stronger than what is currently anticipated by financial market participants. Turning to Case- A-type risks over the policy horizon, inflation in several systemically important economies, including the United States, Japan, the United Kingdom, and a number of euro area countries remains above target as of November this year. Moreover, risks of a renewed acceleration in inflation persist in these economies, which, if realized, would lead to stronger global inflationary pressures. Among Armenia's key trading partners, inflation and inflation expectations in Russia also remain elevated, posing risks of spillovers to the Armenian economy. In addition, under scenarios where sanctions on Russia are maintained or further tightened, an acceleration of capital inflows to Armenia cannot be ruled out. Such developments could ultimately result in faster growth in private spending, thereby generating additional inflationary pressures in the domestic market. Alongside the potential developments described in the external sector, there are also inflationary risks arising purely from domestic economic conditions. In particular, as of the end of 2025, economic activity in Armenia remains elevated, driven primarily by optimistic expectations among households and firms, strong external demand for goods and services produced in export-oriented sectors, and the fiscal stimulus provided to the economy over the course of the year. Should these supportive conditions persist or intensify, the inflationary environment observed in the domestic economy could continue to broaden. In addition, in the context of positive developments aimed at normalizing relations between Armenia and neighboring countries, a further acceleration in investment and overall economic activity is expected, which may entail additional inflationary risks over the medium term. Over the monetary policy target horizon, a number of Case B-type risks are also present. In particular, a sharp correction in potentially overvalued asset prices in the U.S. economy remains a plausible risk. If accompanied by a decline in confidence among economic agents, such a correction could lead to a significant slowdown in economic activity. The relevance of this scenario persists, given ongoing structural adjustments in traditional sectors of the U.S. economy. A potential slowdown in U.S. economic activity would weigh on global demand and, ultimately, generate moderate disinflationary risks for the Armenian economy. At the same time, the persistently low inflation environment in China, together with the continuation of policies aimed at expanding export markets through price competitiveness, could further intensify disinflationary pressures in several economic regions relevant to Armenia. Among domestically driven Case B-type risks, it is notable that a continued decline in the neutral interest rate cannot be ruled out. This would reflect a further potential reduction in Armenia's country risk premium, as well as a sustained appreciation of the real effective exchange rate, driven by ongoing growth in exports and capital inflows to Armenia. At the same time, the risk of a rapid correction following a period of elevated activity in the real estate market remains relevant. Should such a scenario materialize, aggregate domestic demand would slow markedly, generating disinflationary pressures. That said, the continued strength of domestic economic activity has reduced the risk of an abrupt adjustment in real estate prices and activity compared with previous monetary policy decision cycles. Weighing the Case A and Case B-type risks described above, I am convinced that it is appropriate to keep the refinancing rate unchanged at its current level of 6.75 percent, with the aim of maintaining inflation close to the Central Bank's target over the medium term. I reaffirm my commitment to the price stability objective and stand ready to respond with appropriate actions to any new information that may pose risks to achieving the 3 percent inflation target and maintaining price stability over the medium-term horizon.

Board Member Armen Ktoyan

My vote to lower the policy rate by 25 basis points was based on two groups of factors. With regard to external factors, uncertainty related to global trade policies and geopolitical developments has somewhat eased. In the United States, despite the ongoing expansionary fiscal policy, risks related to a deterioration in labor market conditions persist. Together with risks of overvaluation and potential corrections in financial asset markets, this may generate disinflationary pressures in the global economy. In global commodity markets, recent months have been characterized mainly by weak inflationary or outright disinflationary pressures. Against the backdrop of tighter sanctions, the decline in Russian oil prices, along with the resulting increasing challenges in meeting planned budget revenue targets and the widening fiscal deficit, poses significant risks of ruble depreciation and the transmission of disinflationary pressures to Armenia. Domestic economic activity remains elevated, largely supported by strong performance in construction and services sectors. However, the structural characteristics of growth and its concentration in a limited number of sectors partly mask the weakening of underlying demand conditions in the economy. Recent inflation dynamics have been driven mainly by non-seasonal food prices, reflecting supply-side factors that are temporary in nature rather than sustained demand pressures. In my view, prudent management of risks related to weakening demand conditions currently deserves higher priority. In particular, risks are arising from a slowdown in activity in the construction sector and weakening demand in the real estate market. In addition, slower growth in real incomes in Russia and a possible depreciation of the ruble may lead to a compression of tourism inflows to Armenia. Under these conditions, demand for Armenian goods may also weaken. Taken together, these factors may require a lower interest rate path than that implied by market expectations. As a result, prioritizing effective management of risks arising from Case-B type scenarios, I voted in favor of reducing the policy rate by 25 basis points.

